

The Role of Financial Management

Why should I care about Financial Management

- Prepare for the workplace of tomorrow.
- Broadening expectations of financial knowledge and skills.
- Use and understand financial terminology and concepts in team communication.
- Developing cross-functional capabilities.
- Critical thinking.

Why there is a need for Financial Manager

- Financial managers primarily raised funds and managed their firms' cash positions – and that was pretty much it.
- But, the increasing acceptance of present value concepts encouraged financial managers to expand their responsibilities and to become concerned with the selection of capital investment projects.
- Today, external factors have an increasing impact on the financial manager. Heightened corporate competition, technological change, volatility in inflation and interest rates, worldwide economic uncertainty, fluctuating exchange rates, tax law changes, environmental issues, and ethical concerns over certain financial dealings must be dealt with almost daily. As a result, finance is required to play an ever more vital strategic role within the corporation.
- Your ability to adapt to change, raise funds, invest in assets, and manage wisely will affect the success of your firm
- Through efficiently acquiring, financing, and managing assets, the financial manager contributes to the firm and to the vitality and growth of the economy as a whole.

What Is Financial Management?

- **Financial management** is concerned with the acquisition, financing, and management of assets with some overall goal in mind. Thus the decision function of financial management can be broken down into three major areas: the investment, financing, and asset management decisions.

Investment Decisions

- Investment decisions are crucial for a firm's value creation.
- The first step involves determining the total amount of assets the firm needs.
- This translates to the total value on the left side of the firm's balance sheet, excluding liabilities and equity.
- After determining the total asset value, the composition of the assets needs to be decided (e.g., how much to invest in cash vs inventory).
- Disinvestment, or selling off assets that are no longer economical, is also an important investment decision.

Financing Decision

- Financing decisions involve determining the structure of the right side of the company's balance sheet (debt and equity).
- Companies have varying financing mixes, some relying heavily on debt while others are almost debt-free.
- The text raises questions about the impact of financing choices on the company.
- Dividend policy, which determines how much profit gets paid out to shareholders, is part of the financing decision.
- A higher dividend payout means less money is retained for the company's growth (opportunity cost).
- Financial managers must not only decide on the financing mix but also figure out how to acquire those funds (loans, bonds, etc.).

Asset Management Decision

- This involves efficiently using the assets already acquired through financing.
- The financial manager is more involved in managing current assets (cash, inventory) compared to fixed assets (buildings, machinery).
- Day-to-day management of fixed assets falls on the shoulders of operating managers who directly use them.

The Goal of the Firm

- **Maximizing of Shareholder Wealth**
- **Value creation** occurs when we maximize the share price for current shareholders.

What Companies Say About Their Corporate Goal

- “FedEx’s main responsibility is to create shareholder value.”

Source: FedEx Corporation, SEC Form Def 14A for the period ending 9/25/2006.

- “. . . we [the Board of Directors] are united in our goal to ensure McDonald’s strives to enhance shareholder value.”

Source: McDonald’s Corporation 2006 Annual Report.

- “The desire to increase shareholder value is what drives our actions.”

Source: Philips Annual Report 2006.

Shortcomings of Alternative Perspectives

- **Profit maximization** is offered as the proper objective of the firm. Profit maximization is Maximizing a firm's earnings after taxes (EAT).
- However, under this goal a manager could continue to show profit increases by merely issuing stock and using the proceeds to invest in Treasury bills. For most firms, this would result in a decrease in each owner's share of profits.
- Ignores changes in the risk level of the firm.

Shortcomings of Alternative Perspectives

- **Maximizing earnings per share:** Earnings per share (EPS) Earnings after taxes (EAT) divided by the number of common shares outstanding.
- However, maximization of earnings per share is not a fully appropriate goal because it does not specify the timing or duration of expected returns.
- a shortcoming shared by other traditional return measures, such as return on investment – is that risk is not considered a company will be more or less risky depending on the amount of debt in relation to equity in its capital structure.
- Finally, this objective does not allow for the effect of dividend policy on the market price of the stock. If the only objective were to maximize earnings per share, the firm would never pay a dividend.

Corporate Social Responsibility (CSR)

- Corporate social responsibility (CSR): A business outlook that acknowledges a firm's responsibilities to its stakeholders and the natural environment.
- Sustainability: Meeting the needs of the present without compromising the ability of future generations to meet their own needs.
- Class Discussion: What role should CSR and/or sustainability have on the living the goal of the firm.

Corporate Social Responsibility (CSR)

- **Social Responsibility and Shareholder Wealth:** Maximizing shareholder wealth shouldn't come at the expense of social responsibility (CSR).
- **Stakeholder Importance:** Companies should consider interests of various stakeholders beyond shareholders, like employees, customers, and communities.
- **Sustainability as CSR Focus:** Sustainability, meeting present needs without compromising the future, is a growing CSR concern.
- **Socially Responsible Actions Benefit Companies:** Socially responsible actions might be necessary for a company's long-term success.
- **Challenges of CSR:** Defining clear social responsibility criteria can be difficult, making consistent policy formation challenging.
- **Clearer Goals with Defined Rules:** When society sets clear rules on social responsibility, companies can better balance social good, environmental concerns, and economic goals.
- **Maximizing Shareholder Wealth Remains Viable:** Even with CSR, maximizing shareholder wealth can remain a valid objective.

Role of Management in modern corporation

- It has long been recognized that the separation of ownership and control in the modern corporation results in potential conflicts between owners and managers.
- In particular, the objectives of management may differ from those of the firm's shareholders. In a large corporation, stock may be so widely held that shareholders cannot even make known their objectives, much less control or influence management.
- Thus this separation of ownership from management creates a situation in which management may act in its own best interests rather than those of the shareholders.

Agency Problem

- We may think of management as the **agents** of the owners. Shareholders, hoping that the agents will act in the shareholders' best interests, delegate decision-making authority to them.
- Agent(s): Individual(s) authorized by another person, called the principal, to act on the latter's behalf.
- **How to remove agency problem:**
 - Agency Theory: Jensen and Meckling's theory explains how to align the interests of managers (agents) with shareholders (principals).
 - Incentives for Alignment: Shareholders can encourage managers to make good decisions by offering incentives like stock options and bonuses tied to shareholder wealth.
 - Monitoring Management: Monitoring managerial actions is necessary to ensure alignment. This includes reviewing perks, auditing financials, and limiting decision-making freedom.
 - Monitoring Costs: Monitoring activities incur costs due to the separation of ownership and control.
 - Ownership and Monitoring: When managers own less of the company, there's a greater need for monitoring by external shareholders.

Corporate Governance

- **Corporate Governance System:** It defines how corporations are directed and controlled, involving shareholders, board members, and senior management.
- **Goal of Governance:** It establishes a framework for setting corporate goals and monitoring performance.
- **Key Players:** Shareholders elect the board, the board oversees management, and top executives led by the CEO run the company.
- **Board of Directors:** They are the crucial link between shareholders and management, holding the ultimate oversight responsibility.
- **Board's Role:** They act as an independent check on management to ensure decisions prioritize shareholder interests.

The Role of the Board of Directors

- Board Responsibilities:

- Setting company-wide policies.
- Advising senior management on running the company.
- Hiring, firing, and setting CEO compensation.
- Reviewing and approving major decisions like strategy, investments, and acquisitions.
- Overseeing operating plans, budgets, and financial reports.

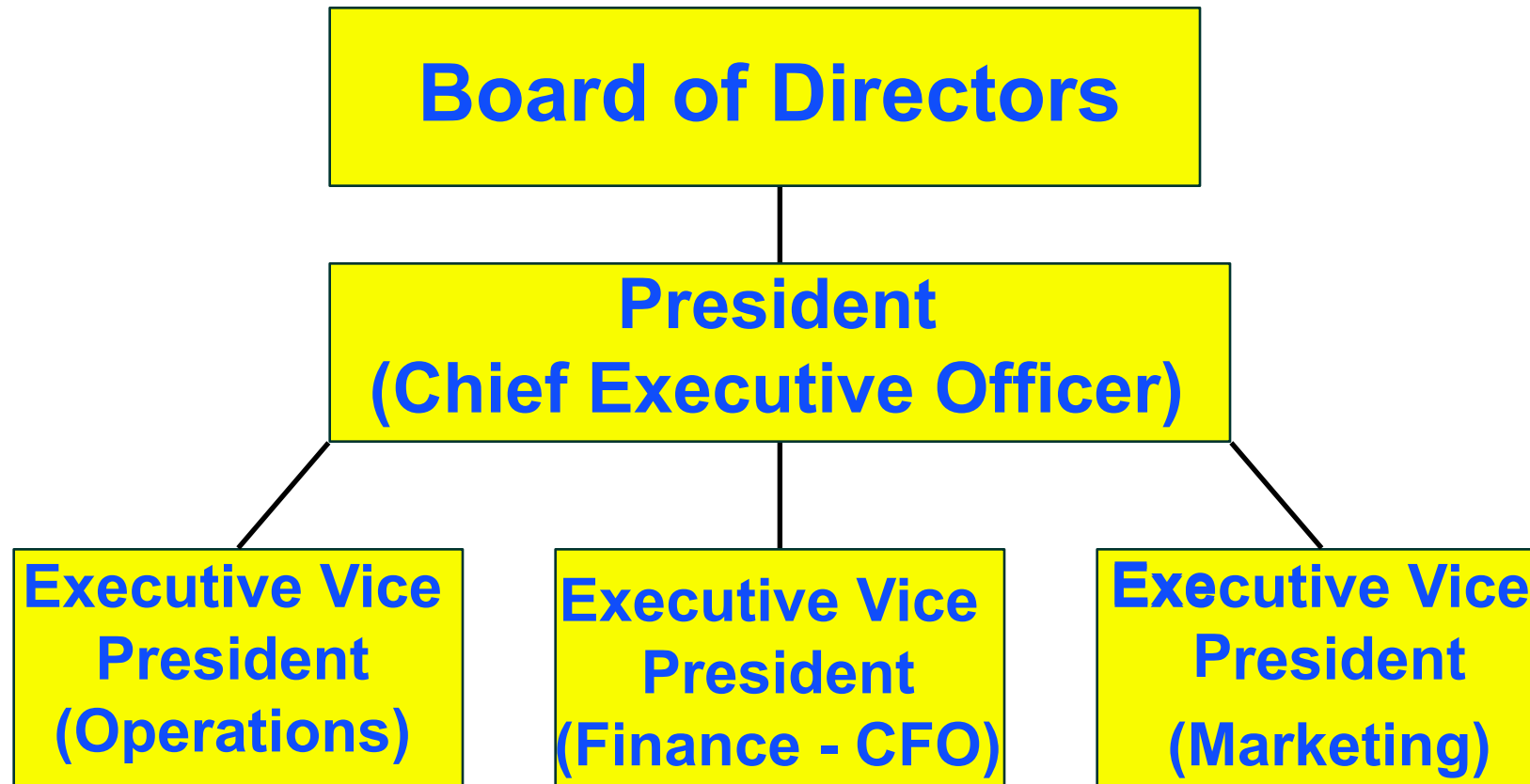
- Board Composition:

- U.S. boards typically have 10-11 members.
- The CEO often chairs the board in the U.S.
- Separating the CEO and chairman roles is becoming more common (especially looking at the U.K. model).

Sarbanes-Oxley Act of 2002

- Corporate scandals (Enron, WorldCom, etc.) exposed weaknesses in corporate governance. This led to increased focus on reforming corporate governance practices worldwide.
- Introduced Sarbanes-Oxley Act which mandates reforms to combat corporate and accounting fraud, and imposes new penalties for violations of securities laws.
- It also calls for a variety of higher standards for corporate governance,
- Establishment of the Public Company Accounting Oversight Board (PCAOB). The Securities and Exchange Commission (SEC) appoints the chairman and the members of the PCAOB. The PCAOB has been given the power to adopt auditing, quality control, ethics, and disclosure standards for public companies and their auditors as well as investigate and discipline those involved.

Organization of the Financial Management Function



Organization of the Financial Management Function

EVP of Finance

Vice President (Treasurer)

- Capital Investment
- Cash Management
- Commercial/investment banking relationships
- Credit Management
- Dividend Disbursement
- Financial Analysis/Planning
- Investor Relations
- Mergers and Acquisitions
- Pension Management
- Insurance/Risk Management

Controller

- Cost Accounting
- Cost Management
- Data Processing
- General Ledger
- Government Reporting
- Internal Control
- Internal Financial Preparing
- Statements Budgets
- Preparing Forecasts